

Payment Risk & Screening Platform - Hold Management Service: Design & Hold Reason Taxonomy

Hold lifecycle, reason codes, disposition controls and data handling for payment holds

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1. Purpose and scope

The Hold Management Service (HMS) is the system of record for holds placed on outbound payments by screening, fraud, funds control and operational controls. It is part of the Payment Risk & Screening Platform (PRSP) together with **Sentinel Fraud Scoring** (vendor model, MRM ID M-FCT-0021) and **SanctionScreen** (OFAC and other sanctions lists). HMS work queues are surfaced to Payment Operations and the FIU via the Investigations Workbench (IWB).

2. Hold lifecycle

State	Description
OPEN	Hold created; payment in PPH state HELD
IN_REVIEW	Assigned to analyst (Wire Room, Fraud Ops, Sanctions L1/L2, FIU)
ESCALATED	Escalated (e.g., Sanctions L2, FIU)
RELEASED	Disposition = release (maker-checker); PPH resumes processing
REJECTED	Disposition = reject; PPH cancels payment
BLOCKED	OFAC blocking; funds moved to blocked account; reported to OFAC within 10 business days (31 CFR 501.603)
EXPIRED	Auto-cancel after client response window (HRC-01/02/05)

3. Hold reason taxonomy

Disclosure tiers are defined by POL-FCC-014 (P = public status, C = client-actionable, G = generic review, R = restricted).

Code	Mnemonic	Description	Tier	Share of holds
HRC-01	DUP_SUSPECT	Possible duplicate of a recent wire (same beneficiary/amount/date window)	C	22%
HRC-02	CALLBACK_REQUIRED	Out-of-band callback verification for new/changed beneficiary above threshold	C	18%
HRC-03	LIMIT_EXCEEDED	Client daily / per-transaction limit exceeded	C	9%
HRC-04	CUTOFF_WAREHOUSED	Received after Fedwire customer cutoff (6:00 p.m. ET) or future-dated	P	6%
HRC-05	FUNDS_PENDING	Insufficient available balance at funds control	C	14%
HRC-06	REPAIR_REQUIRED	Message repair (e.g., structured postal address, invalid routing/BIC)	C	11% (forecast ~16% after Nov-2026 address enforcement)
HRC-07	FRAUD_MODEL_HIGH	Sentinel fraud score above threshold	R	8%
HRC-08	ATO_SUSPECT	Session / device anomalies indicating possible account takeover	R	1%
HRC-09	SANCTIONS_REVIEW	SanctionScreen potential match pending L1/L2 review	R	7%
HRC-10	AML_REVIEW	Unusual activity review by FIU	R	2%

Code	Mnemonic	Description	Tier	Share of holds
HRC-11	LEGAL_HOLD	Legal process / law enforcement request	R	<0.5%
HRC-12	OPS_MANUAL_REVIEW	Large-value or exception manual review by Wire Room	G	1.5%

Volumes: ~410 holds per business day (2.6% of outbound wires). Median time to disposition: HRC-01 47 min; HRC-02 2 h 10 min; HRC-07 1 h 35 min; HRC-09 3 h 20 min; HRC-10 1-5 business days.

4. Data handling

- Hold **description** and **analystNotes** are classified Restricted. Descriptions are generated from rule templates and typically contain the HRC mnemonic and context, e.g., 'FRAUD_MODEL_HIGH sc=9xx L1 queue', 'SANCTIONS_REVIEW name match 0.91 L2', 'Possible duplicate of PPH260924...'.
- The HMS-to-PPH description sync (feeding PPH v1 holdReasonDesc) predates ADR-PAY-021 and remains active for v1 backward compatibility until v1 sunset. Risk FCT-2004 is open.
- Topic risk.hold.events.v1 is restricted to FCT and Payment Operations tooling. Channel applications are not authorized consumers.

5. Interfaces

ID	Interface	Callers	Notes
EP-HMS-01	GET /prsp/hms/v1/holds?paymentId=	IWB; PPH (legacy sync)	Returns hrcCode, category, description, analystNotes, slaDueTs
EP-HMS-02	POST /prsp/hms/v1/holds/{holdId}/disposition	IWB only	Role HOLD_RELEASER; maker-checker (CTRL-PAY-012)
EV-HMS-01	risk.hold.events.v1	FCT / Ops tooling	Restricted

There is currently no client-facing interface. Proposal **FCT-1893** (Client-Safe Hold Status Facade, 21 pts, deprioritized 2025-Q3) would add GET /prsp/hms/v1/holds/{holdId}/client-view returning only disclosure tier, approved copy key and permitted client actions. A client attestation endpoint does not exist.

6. Controls

Control	Requirement
CTRL-PAY-012	Release/reject dispositions require maker-checker by users with HOLD_RELEASER role.
CTRL-PAY-018	Callback verification (HRC-02) must be completed by phone to a contact on file obtained independently of the payment instruction or the requesting session. Confirmations received through the channel that initiated the payment do not satisfy this control.
CTRL-PAY-031	(Updated 2026-06 following pilot FCT-1951) Duplicate-suspect holds (HRC-01) may be resolved by client attestation through a digital channel, subject to step-up authentication of an entitled user. Attestation for amounts above \$5,000,000 still requires Wire Room release. Applies to HRC-01 only.
CTRL-PAY-040	No client-facing estimate of release time may be provided for holds in tiers G or R.

7. Sanctions-specific handling

Where a payment is blocked or rejected for sanctions reasons, Sanctions Operations notifies the client in writing per the Sanctions Operations Procedure and reports to OFAC (blocked: 31 CFR 501.603; rejected: 31 CFR 501.604). Channels must not communicate screening outcomes.